© 2026 Stock Research. All Rights Reserved.

Strategic Trading Analysis

Based on the detailed analysis of the attached stock report for **EICHERMOT.NS (Eicher Motors Ltd.)**, here is the positional trading assessment.

Note on Data Context: The report date is **2026-02-21**. The analysis treats this date as "today" for the purpose of the recommendation.

Step 1: Audit the Data

- **Data Present:**
  - **Price Structure:** Daily (3-year), Weekly, and Intraday (15-min) charts.
  - **Trend Indicators:** Moving Averages (EMA 20, 50, 200), Supertrend, MACD.
  - **Momentum/Volatility:** RSI, Bollinger Bands, ATR, Volatility Squeeze.
  - **Volume:** Volume bars, Moving Averages, Distribution/Accumulation signals.
  - **Fundamentals:** Revenue/EPS growth, ROE, Valuation scores (Trendlyne).
- **Data Missing:**
  - Specific Fibonacci retracement/extension levels on the charts.
  - Detailed Option Chain data (Open Interest analysis) for resistance/support confirmation.
- **Confidence Level: High**. The technical and fundamental data provided is robust enough to form a high-probability technical view.

Step 2: Analyze the Setup

- **Trend & Structure:** The stock is in a confirmed **Strong Uptrend**. It is trading well above all key EMAs (20, 50, 200) and the Supertrend is positive. The Weekly chart (Page 23) shows a powerful breakout sequence.
- **Momentum Status - Cautionary:**
  - **Extension:** The current price (7936) is approximately **4.1% above the 20-day EMA (7622)**. While bullish, this extension often leads to mean reversion (a pullback or sideways consolidation) before the next leg up.
  - **MACD:** While the trend is bullish, Page 12 indicates momentum is **"Weakening."** The histogram on Page 13 is compressing, suggesting buyer exhaustion at these highs.
  - **RSI:** At 66.42, the RSI is high but not yet overbought (>70). However, the 15-minute chart shows a short-term bearish crossover, indicating immediate consolidation.
- **Volume:** Page 18 notes "Selling Exhaustion," but the daily chart shows mixed volume near the recent peak of ~8050.
- **Valuation:** The Trendlyne snapshot (Page 24) flags the valuation as "Expensive" and the current price is significantly *above* the broker consensus target (7621), suggesting upside friction.

Conclusion on Setup: The primary trend is excellent, but the **Risk:Reward ratio at the Current Market Price (CMP) is poor.** Entering now requires a wide stop-loss, and the stock is showing signs of needing a "breather" or consolidation near the 20 EMA.

Step 3: Formulate the Recommendation

© 2026 Stock Research. All Rights Reserved.

Should you enter this stock now?NO.

Reasoning: Buying at 7936.50 creates a chase scenario. You would be buying into weakening momentum with resistance immediately overhead at the recent high (~8050). The downside risk to the primary support (20 EMA) is ~4%, while the immediate upside is capped until a consolidation occurs.

Conditional Plan (The "Buy on Dip" Strategy): We will wait for a mean reversion to improve the Risk:Reward ratio to at least 1:2.

- **Condition to Buy:** Wait for a retracement to the **EMA 20** zone OR a consolidation phase where the EMA catch up to price. Look for a bullish reversal candle (Hammer/Doji) on the Daily chart near **7600-7650**.
- **Entry Price: INR 7,650** (Limit Order range: 7620-7680).
- **Stop Loss: INR 7,380** (Daily Closing Basis).
  - *Rationale:* This is just below the Supertrend support (7395) and the 50 EMA (7393). If it breaks this level, the intermediate trend is broken.
- **Take Profit: INR 8,450**.
  - *Rationale:* This targets a breakout above the current ATH (~8050) toward the next psychological and Fibonacci extension levels, offering a ~10.5% upside from the entry.

Alternative Scenario (Breakout): If the stock does *not* pull back and instead breaks above **8,100** with high volume, a momentum entry can be taken with a target of 8,500, but the position size should be reduced due to the extended nature of the chart.

Candlestick Classification Analysis

Based on the **Candlestick Classification** report and the visual evidence from the charts (specifically pages 20 and 21), here is my analysis as a seasoned Price Action Trader.

1. Current Market State: Indecision (The "No Control" Signal)

- **Latest Classification: No Control (0)**
- **Visual Confirmation (Page 21):** The most recent candle on the far right is **Grey**. It features a small body relative to the previous volatile days, with wicks on both sides.
- **Algorithmic Interpretation:**
  - **Body Strength:** Weak (<0.5 ATR). The market opened and closed at very similar levels, indicating that neither bulls nor bears could maintain dominance by the closing bell.
  - **Volume:** Looking at the volume bar corresponding to this candle (Page 21, bottom pane), it appears average to low. Per the algorithm **(Step 4)**, low volume acts as a dampener, preventing a strong directional signal.
  - **Psychology:** This is a classic "breather" candle. After a run-up to the INR 8000 level and a subsequent minor pullback, traders are hesitating. Sellers aren't aggressive enough to push it lower, but buyers are waiting for a better entry or a breakout confirmation.

2. Trend Analysis: Waning Momentum but Still Positive

- **Recent Trend Score (10-day avg): 0.30**
- **Interpretation:**
  - The score runs on a scale of -2 to +2. A score of **0.30** is **marginally bullish**.

© 2026 Stock Research. All Rights Reserved.

- This tells us that over the last two weeks, the "Buyer Control" (+1/+2) days have slightly outnumbered or outweighed the "Seller" days, but the conviction is fading compared to the strong rally seen in early February.
- We are transitioning from a "Strong Impulse" phase into a "Correction/Consolidation" phase.

3. Chart Context & Volume Profile (Page 21)

- **The Run-Up:** Look at the sequence of **Bright Green ("Buyer Strong Control")** candles leading up to the peak. These had massive volume spikes (institutional participation). This establishes a strong underlying demand.
- **The Rejection:** At the very top (near INR 8000), we see a transition to **Red ("Seller Control")**. This was profit-taking at a psychological resistance level.
- **Current Consolidation:** The current grey candles show that the selling pressure (profit-taking) is drying up. The price is *not* crashing; it is drifting sideways. In price action terms, this is often a **Bull Flag** or a **High Tight Flag** formation.

4. Future Prediction: Bullish Continuation (Buy the Dip)

Despite the current "No Control" signal, the bias remains **Bullish** for the following reasons:

1. **Structure:** The primary trend is a Strong **Uptrend** (confirmed by EMAs on Page 6). The current price action is a pause within that trend, not a reversal structure (like a Head and Shoulders).
2. **Volume Logic:** The heavy volume occurred on the way *up*. The volume during this recent pullback/indecision (grey candles) is tapering off. This indicates "weak hands" are selling, but institutions are holding.
3. **Support Defense:** The price is holding above the recent breakout zones (around INR 7800-INR 7900).

Scenario Forecast:* **Most Likely:** The stock will trade sideways in a narrow range (forming more "No Control" or weak "Buyer/Seller Control" candles) for 1-3 days to let the moving averages catch up. Once the consolidation is done, I expect a **Buyer Control (+1)** or **Buyer Strong Control (+2)** candle to break above INR 8000, resuming the uptrend.* **Invalidation Point:** If we see a **Seller Strong Control (-2)** candle (large red body, high volume) closing below INR 7600, the bullish thesis is void, and a deeper correction is underway.

Verdict: Hold / Accumulate on Dips. The "No Control" signal suggests the selling pressure is exhausted, setting the stage for the next leg up.

News & Analyst Targets

As a stock research analyst, I have compiled the latest information on **Eicher Motors Ltd. (EICHERMOT)** for the week ending February 21, 2026.

1) Latest News for EICHERMOT (Week of Feb 21, 2026)

The stock has been in the spotlight following its Q3 FY26 earnings report and strategic announcements. Key developments include:

- **Strong Q3 FY26 Earnings:** Eicher Motors reported its highest-ever third-quarter revenue and profits. Consolidated revenue grew **23% YoY** to **INR 6,114 crore**, while Net Profit (PAT) rose **21% YoY** to **INR 1,421 crore**. EBITDA margins expanded to **25.5%**.

© 2026 Stock Research. All Rights Reserved.

- **Capacity Expansion Plan:** The Board approved a significant capital expenditure of **INR 958 crore** to expand the Royal Enfield manufacturing facility at Cheyyar, Tamil Nadu. This brownfield expansion aims to increase production capacity to **2 million units annually** (up from ~1.5 million) to meet future demand.
- **Stock Performance:** Reacting to the earnings, the stock hit a new **52-week high** of approx. **INR 8,140** earlier this week before seeing some consolidation.
- **Sales Volume Growth:** Royal Enfield recorded a **21% YoY** growth in sales volume (3.25 lakh units), while the Commercial Vehicle segment (VECV) grew by **24% YoY**.

2) Brokerage Upgrades & Downgrades

The analyst community is divided. While most acknowledge the strong operational performance, concerns over "premium valuation" have led to mixed ratings.

- **Upgrades / Bullish Views:** Global brokerages like **Jefferies** and **Citi** have maintained their positive stance. Jefferies raised its target price significantly, citing a sharp recovery in volumes and a favorable competitive landscape. **Nuvama** raised its target price while retaining a 'Hold' rating, factoring in higher volume assumptions.
- **Downgrades / Bearish Views: Motilal Oswal** reiterated its **SELL** rating. They argue that the current valuation is too expensive and that the recent demand surge (driven by past GST cuts) is "normalizing," which could cap future margin upside. **Choice Institutional Equities** also maintained a 'Reduce' rating due to valuation concerns despite the good quarter.

3) Other Impacting News (Direct & Indirect)

- **GST Impact Normalization:** Management commentary highlighted that the robust growth seen in FY26 so far was partly fueled by benefits from a **GST rate cut** (on commercial vehicles/entry-level bikes) implemented in late 2025. Analysts noted that this "pent-up demand" is now stabilizing, which could lead to more normalized growth rates in coming quarters.
- **High Put Option Activity:** Market data from this week shows heavy trading in **Put Options** at the **INR 8,000 strike price** for the February 24 expiry. This indicates that some traders are hedging their positions or betting on a short-term correction/pullback after the stock's rapid rally to record highs.
- **Raw Material Costs:** Gross margins were slightly impacted (contracted ~65 bps YoY) due to commodity inflation, though this was offset by better product mix and price hikes.

4) Latest Analyst Targets

Below is a summary of the latest price targets and ratings issued by major brokerages following the Q3 FY26 results.

Brokerage Firm	Rating	Target Price (INR)	Sentiment
Goldman Sachs	Buy	9,200	Bullish
Elara Securities	Buy	9,000	Bullish
Jefferies	Buy	8,800	Bullish
Citi	Buy	8,300	Bullish
Nuvama	Hold	8,100	Neutral
Ambit Capital	Buy	8,014	Bullish
Nomura	Neutral	7,827	Neutral
Choice Equities	Reduce	7,020	Bearish
BOB Capital	Hold	6,931	Neutral
Emkay Global	Add	6,900	Cautiously Bullish
Motilal Oswal	Sell	6,313	Bearish

© 2026 Stock Research. All Rights Reserved.

Note: Target prices are based on reports released around mid-February 2026 post-earnings.

Analyst Summary: The consensus price target has shifted upwards toward the **INR 7,800 - INR 8,000** range, but a wide divergence remains between the most bullish (Goldman/Jefferies) and the most bearish (Motilal Oswal) views.

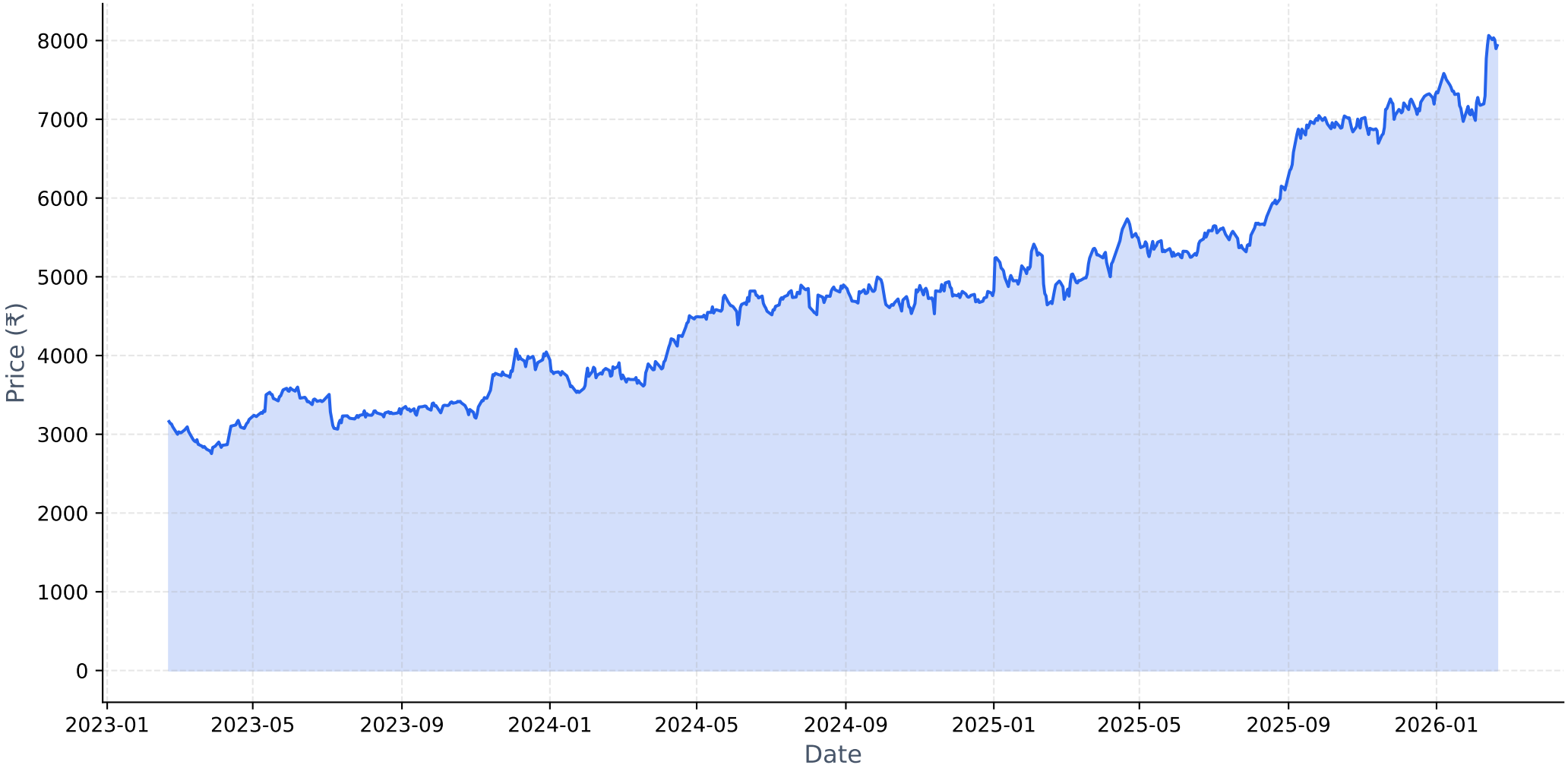
Stock Detailed Analysis Report

EICHERMOT.NS

Current Price: ₹7936.50

Generated: 2026-02-21 09:27

EICHERMOT.NS - 3 Year Daily Price Chart



Long-term Fundamental Analysis (4 Years)

Metric	Is Growing?	Accelerating?	1Y Growth	3Y CAGR
Revenue	Yes	No	14.19%	22.33%
Net Income	Yes	No	18.33%	41.34%
ROE	Yes	No	0.27%	18.68%
EPS	Yes	No	18.18%	41.23%

Short-term Fundamental Analysis (6 Quarters)

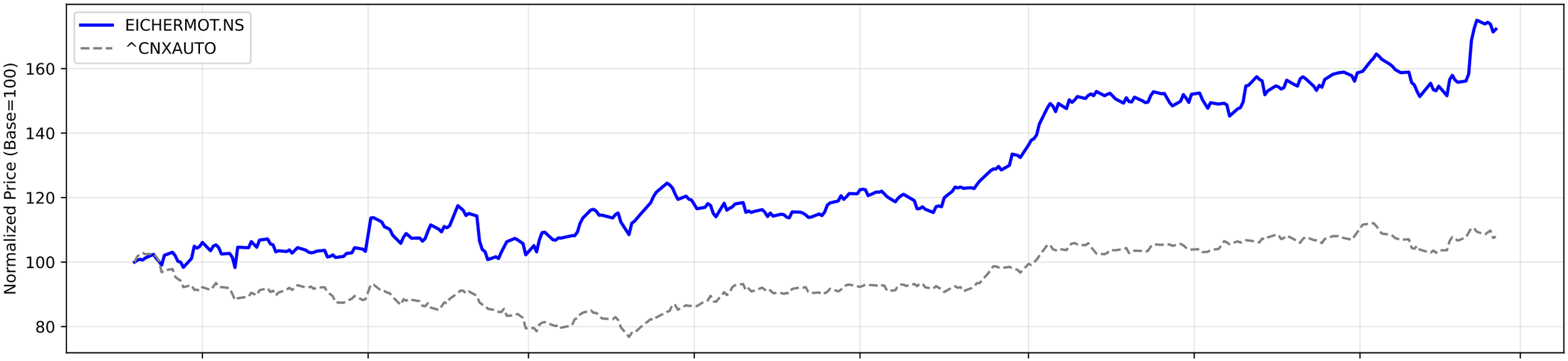
Metric	Is Growing?	Recent QoQ	Avg QoQ
Revenue	Yes	-1.18%	5.74%
Net Income	Yes	3.74%	5.55%
ROE	No	-3.06%	-3.06%
EPS	Yes	3.73%	7.89%

EICHERMOT.NS - Relative Strength Analysis

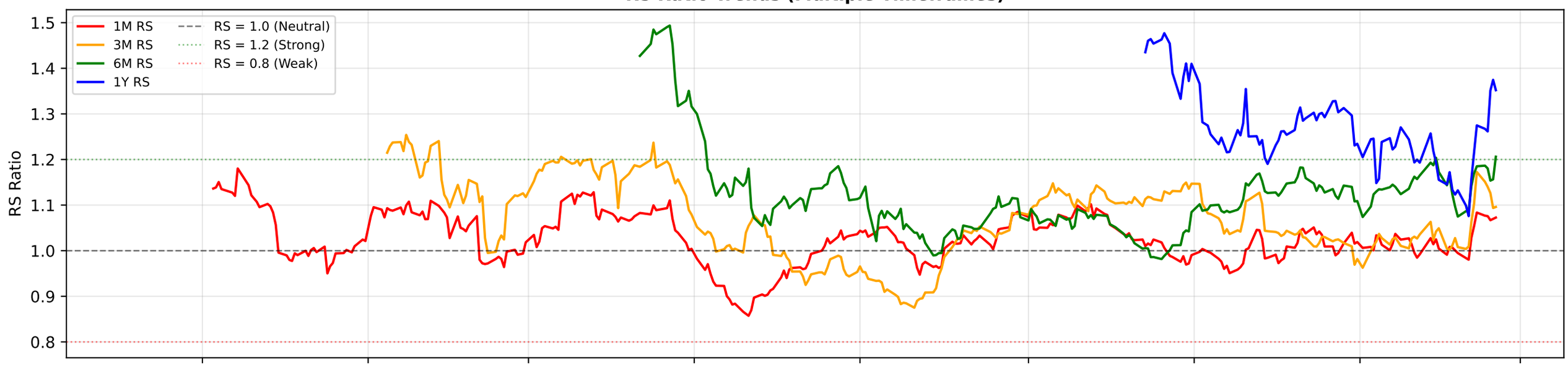
═══ OVERVIEW ═══:	
Benchmark Index:	^CNXAUTO
Sector:	Auto
Classification:	**Weakening Leader**
RS Score:	57.7/100
:	
═══ RS RATIOS ═══:	
1M RS:	**1.073 [Leader]**
3M RS:	**1.096 [Leader]**
6M RS:	**1.206 [Strong]**
1Y RS:	**1.352 [Strong]**
:	
═══ TURNAROUND ANALYSIS ═══:	
Turnaround Status:	**Not Detected**
:	
SIGNAL CRITERIA::	
✗ Emerging RS:	**Not accelerating**
✗ Medium-term Lagging:	**Not lagging**
✗ Performance Improving:	**Not improving**

Relative Strength Analysis: EICHERMOT.NS vs ^CNXAUTO
Classification: Weakening Leader

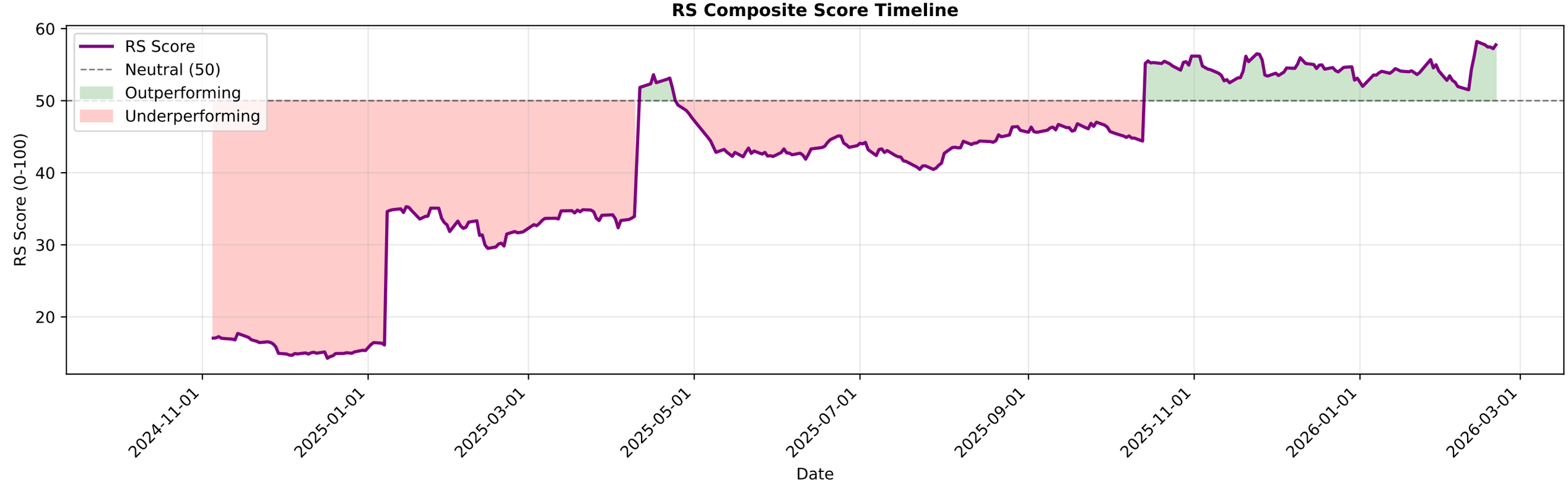
Price Performance Comparison (Normalized)



RS Ratio Trends (Multiple Timeframes)

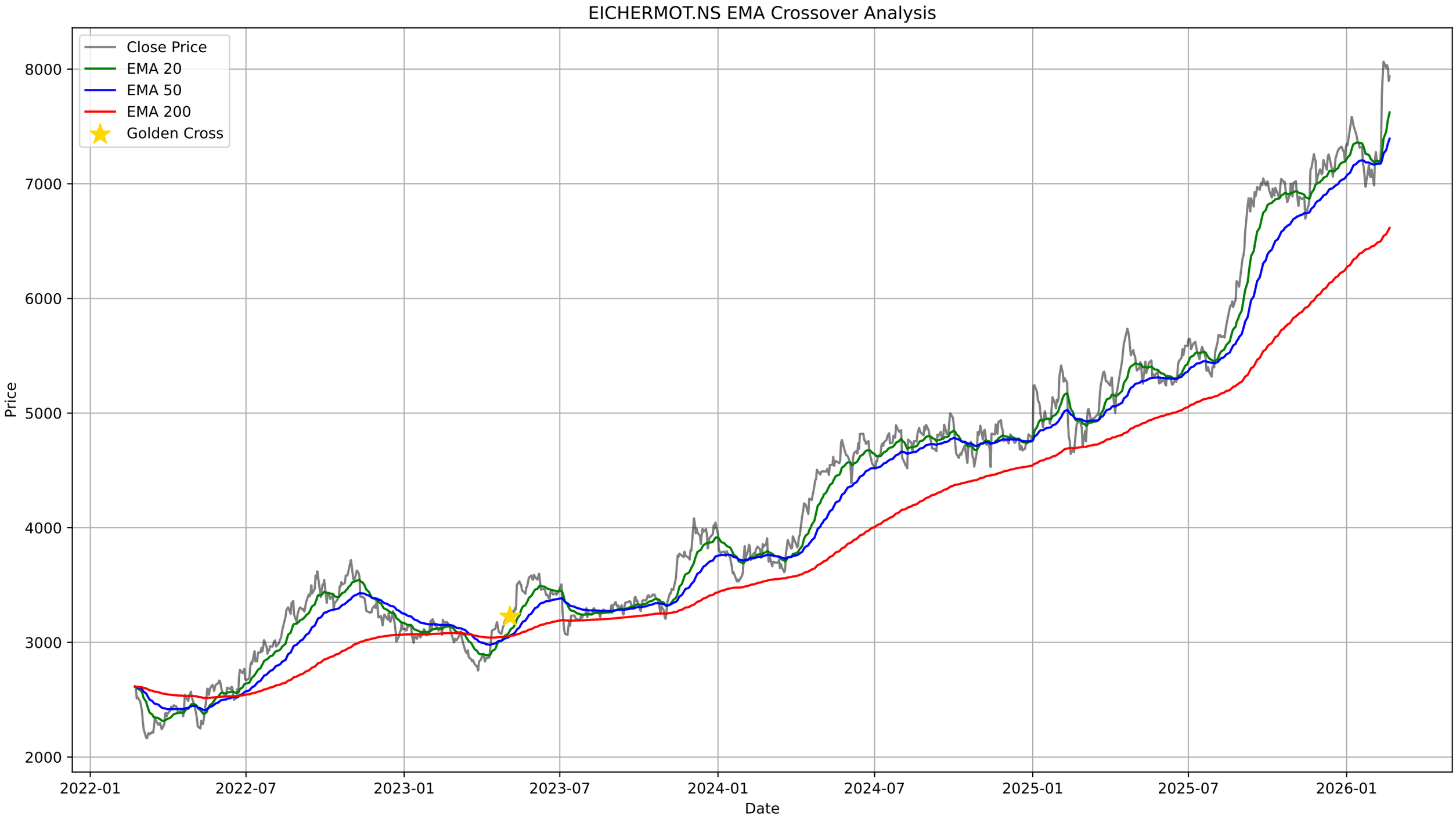


RS Composite Score Timeline



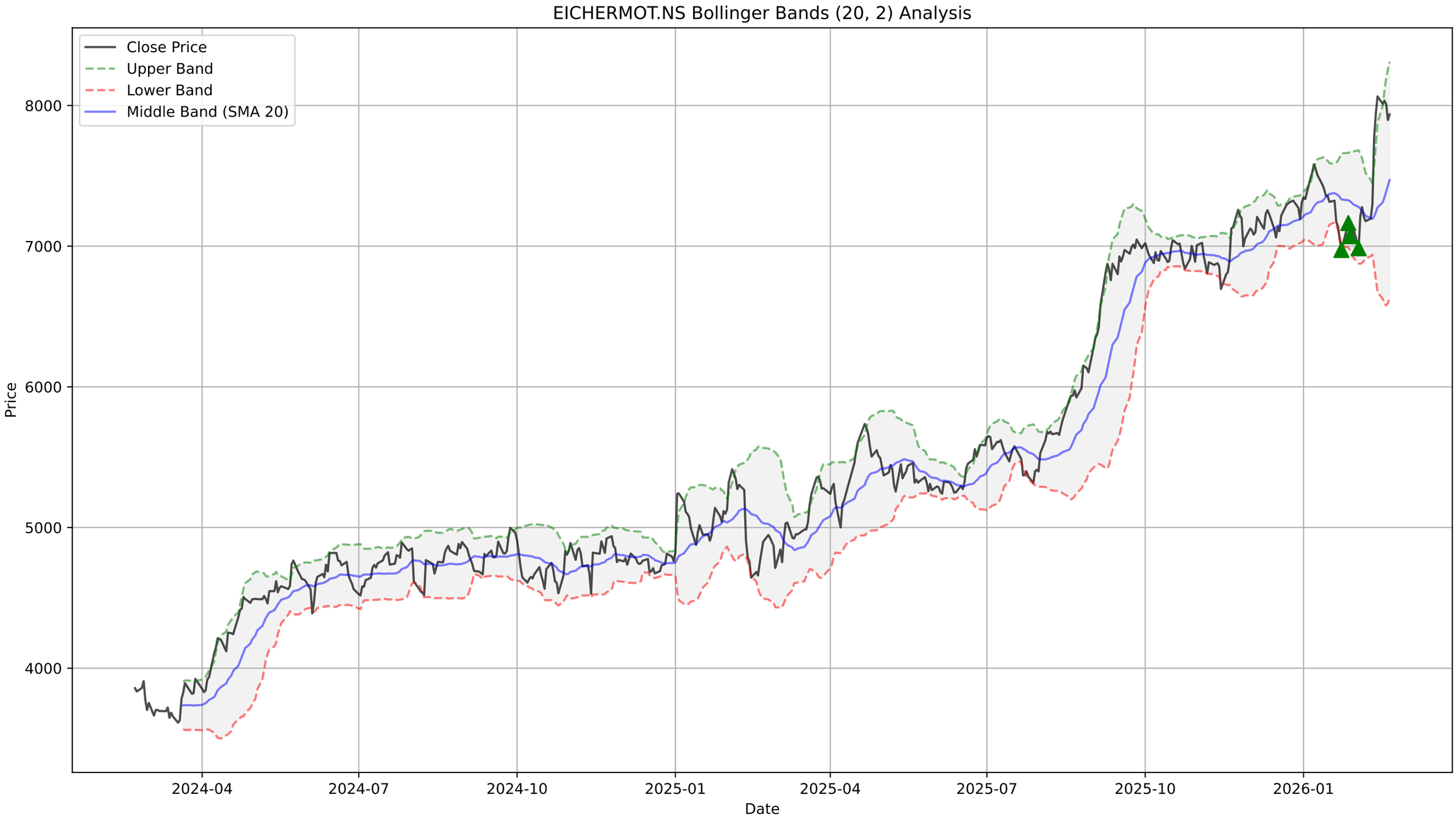
EICHERMOT.NS - EMA Crossover Summary

EMA 20:	7622.60
EMA 50:	7393.53
EMA 200:	6615.18
Trend Status:	**Strong Uptrend**
Golden Cross Date:	2023-05-04 00:00:00+05:30
Golden Cross Price:	3224.84


EICHERMOT.NS EMA Crossover Analysis
Close Price
EMA 20
EMA 50
EMA 200
Golden Cross
Price
8000
7000
6000
5000
4000
3000
2000
2022-01
2022-07
2023-01
2023-07
2024-01
2024-07
2025-01
2025-07
2026-01
Date

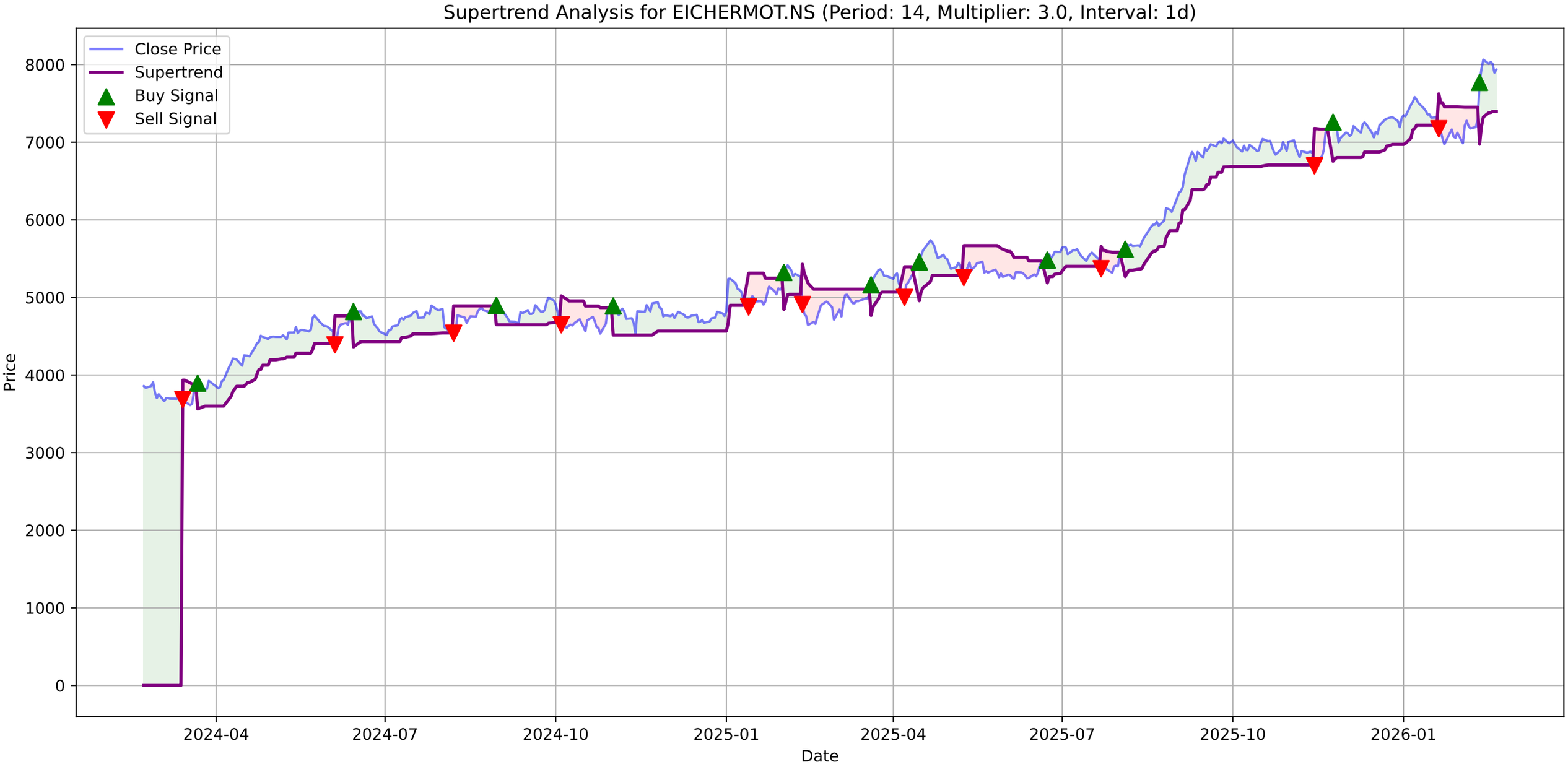
EICHERMOT.NS - Bollinger Bands Summary

Current Price:	7936.50
Upper Band:	8311.36
Middle Band (SMA 20):	7470.57
Lower Band:	6629.79
%B:	0.7771
Band Width:	0.2251
Status:	Upper Half
Signal:	None
Recent Signal 1:	**Buy Signal at 2026-01-27 00:00:00+05:30**
Recent Signal 2:	**Buy Signal at 2026-01-28 00:00:00+05:30**
Recent Signal 3:	**Buy Signal at 2026-02-02 00:00:00+05:30**


EICHERMOT.NS Bollinger Bands (20, 2) Analysis
Close Price
Upper Band
Lower Band
Middle Band (SMA 20)
Price
8000
7000
6000
5000
4000
2024-04
2024-07
2024-10
2025-01
2025-04
2025-07
2025-10
2026-01
Date

EICHERMOT.NS - Supertrend Summary

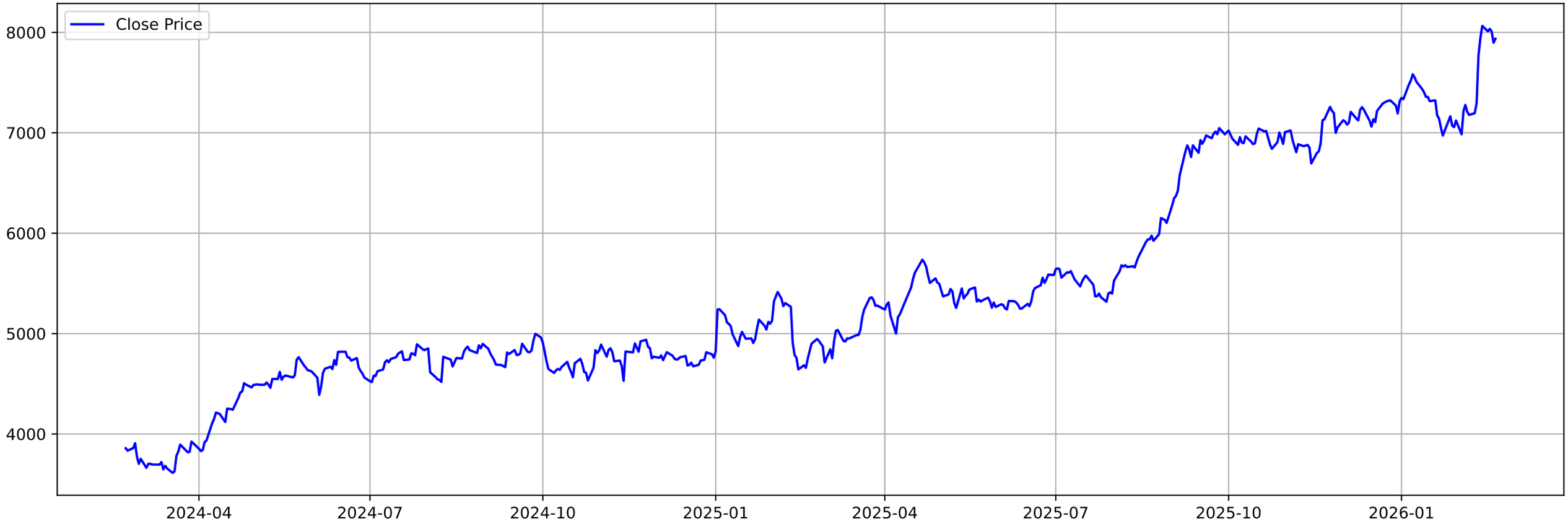
Status:	**UPTREND (Buy)**
Supertrend Value:	7395.54
Signal Identified On:	2026-02-11


Supertrend Analysis for EICHERMOT.NS (Period: 14, Multiplier: 3.0, Interval: 1d)
Close Price
Supertrend
Buy Signal
Sell Signal
Price
Date
8000
7000
6000
5000
4000
3000
2000
1000
0
2024-04
2024-07
2024-10
2025-01
2025-04
2025-07
2025-10
2026-01

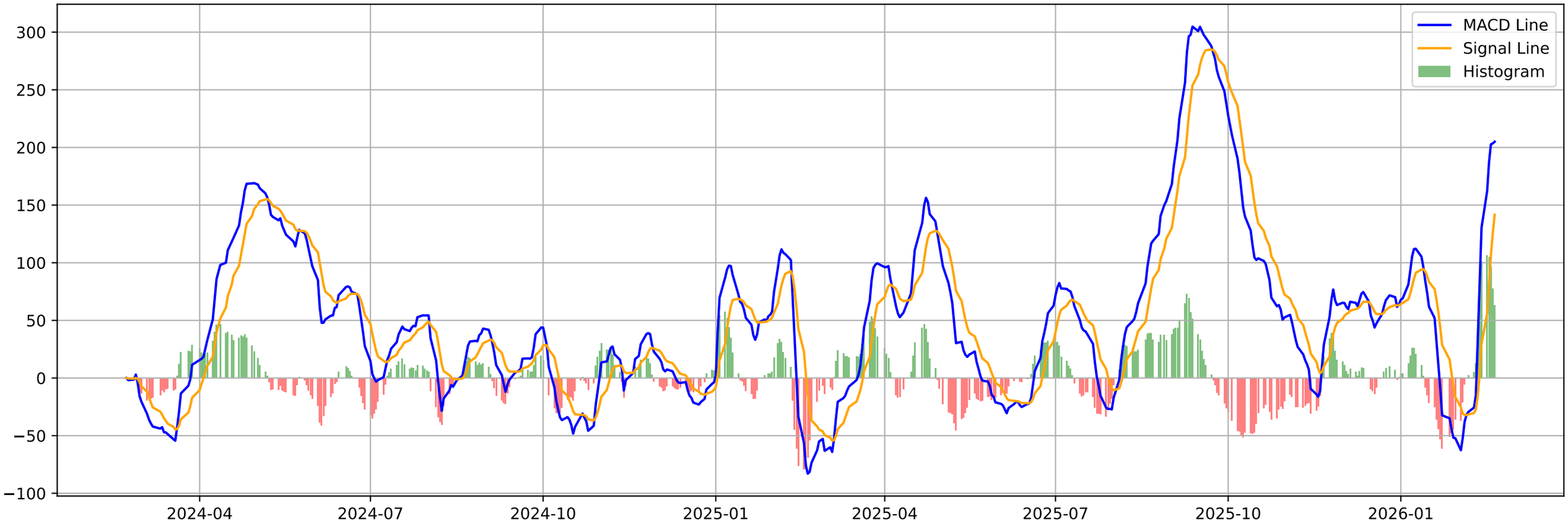
EICHERMOT.NS - MACD Summary

MACD Line:	204.99
Signal Line:	141.67
Histogram:	63.32
Trend:	**Bullish**
Momentum:	**Weakening**
Signal:	None

EICHERMOT.NS Price

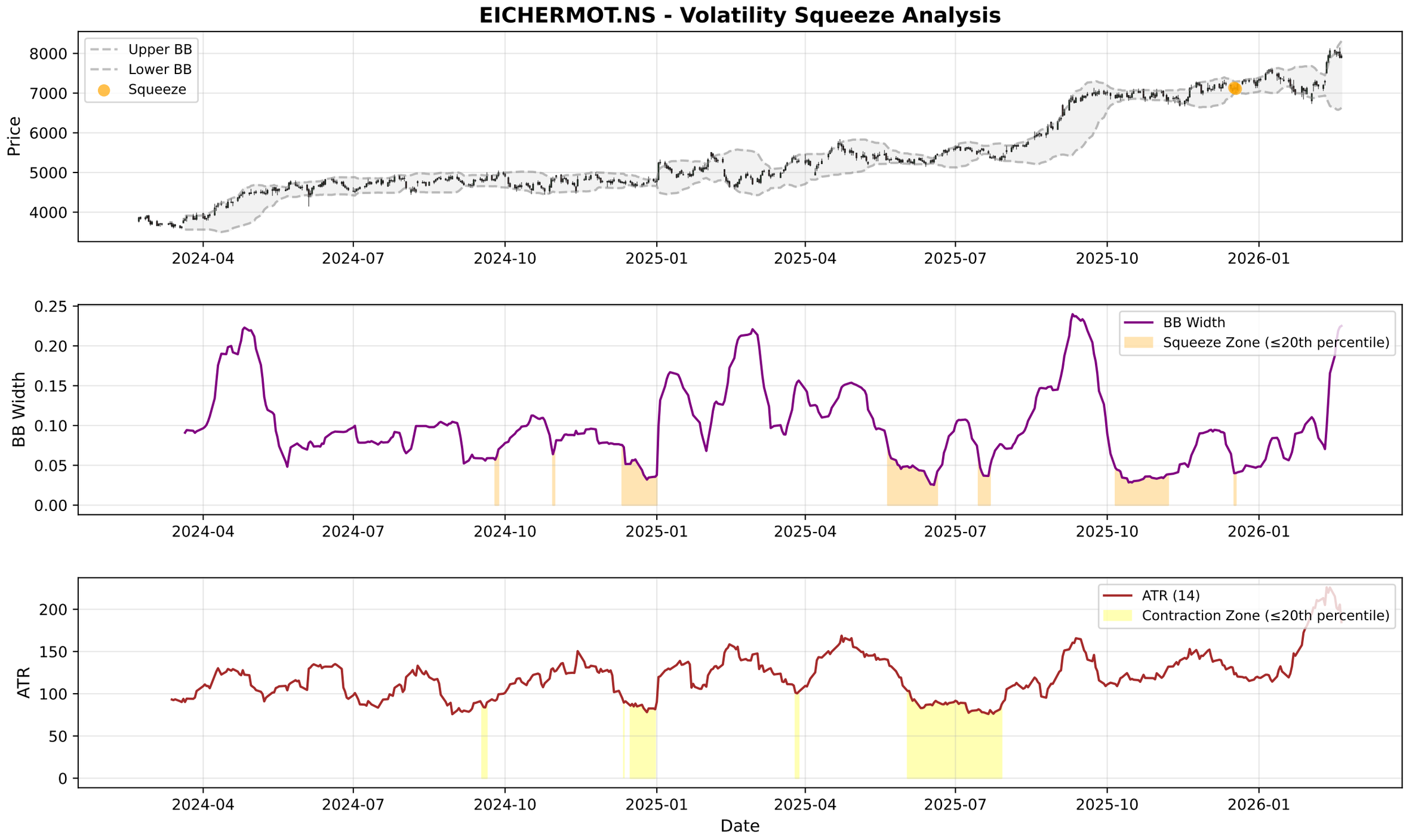


EICHERMOT.NS MACD (12, 26, 9)



EICHERMOT.NS - Volatility Squeeze Summary

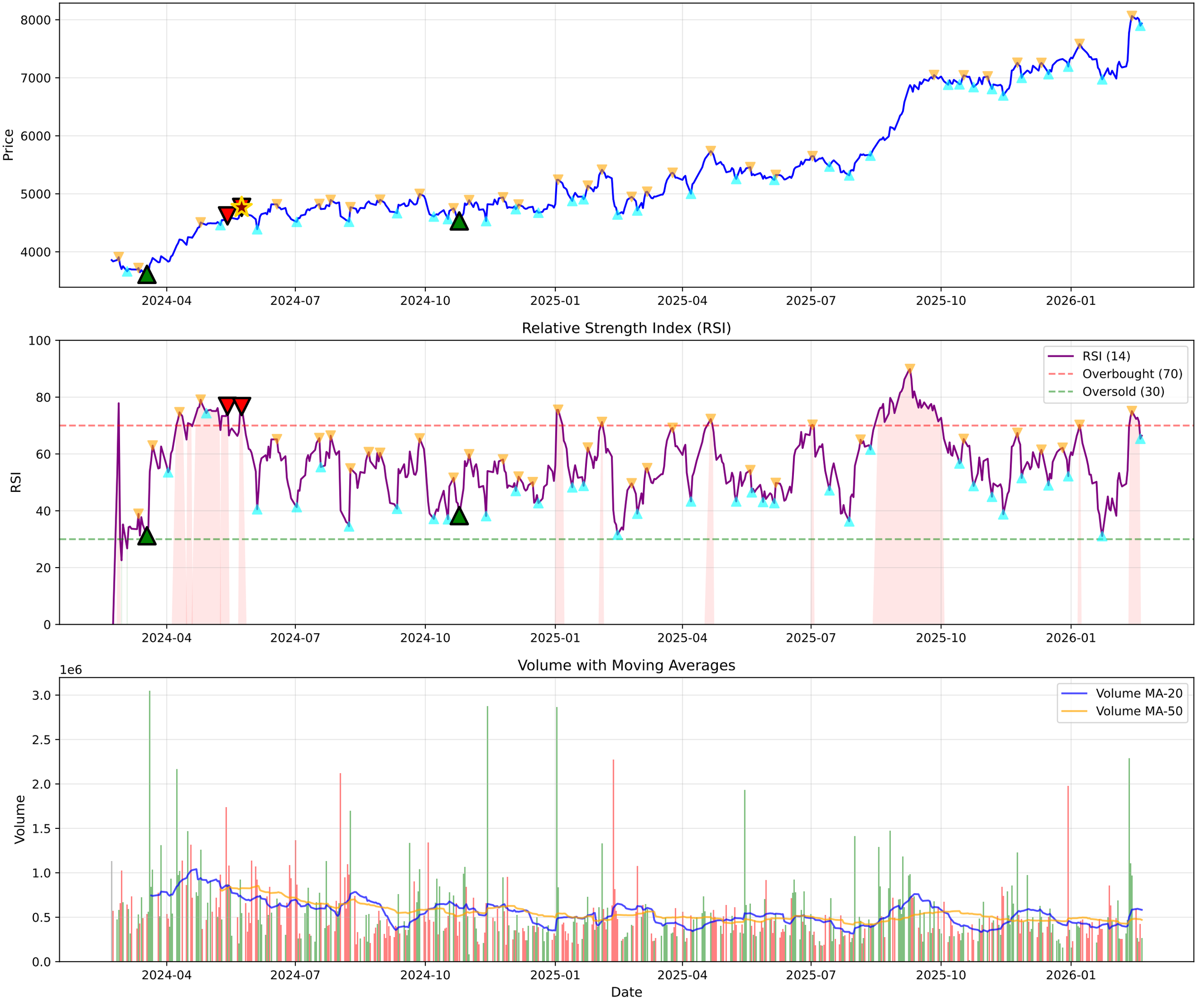
BB Width:	0.2251
ATR:	184.7857
Total Signals:	2
Signal 1:	BB Squeeze at 2025-12-17 00:00:00+05:30 (Price: 7134.50)
Signal 2:	BB Squeeze at 2025-12-18 00:00:00+05:30 (Price: 7106.50)


EICHERMOT.NS - Volatility Squeeze Analysis
Upper BB
Lower BB
Squeeze
Price
8000
7000
6000
5000
4000
2024-04
2024-07
2024-10
2025-01
2025-04
2025-07
2025-10
2026-01
BB Width
Squeeze Zone (≤20th percentile)
0.25
0.20
0.15
0.10
0.05
0.00
ATR (14)
Contraction Zone (≤20th percentile)
ATR
200
150
100
50
0
Date

EICHERMOT.NS - RSI-Volume Summary

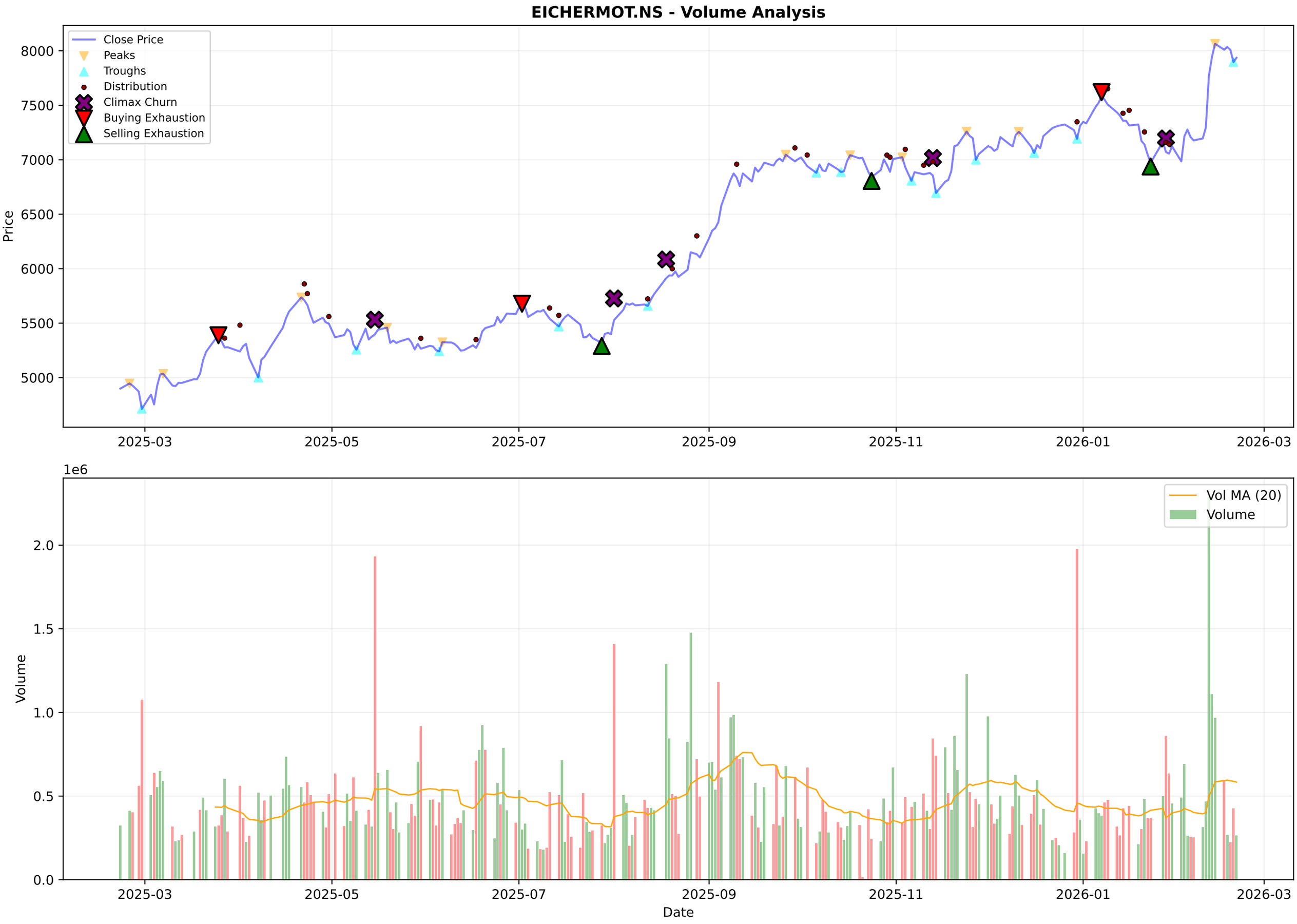
Current RSI:	66.42
Current Volume:	264059
Volume MA 20:	583402
Bullish Divergences:	2
Bearish Divergences:	2
Bullish Div 1:	Date: 2024-03-18 00:00:00+05:30, Price: 3612.32
Bullish Div 2:	Date: 2024-10-25 00:00:00+05:30, Price: 4532.83
Bearish Div 1:	Date: 2024-05-14 00:00:00+05:30, Price: 4618.82
Bearish Div 2:	Date: 2024-05-24 00:00:00+05:30, Price: 4765.67

EICHERMOT.NS RSI-Volume Divergence Analysis



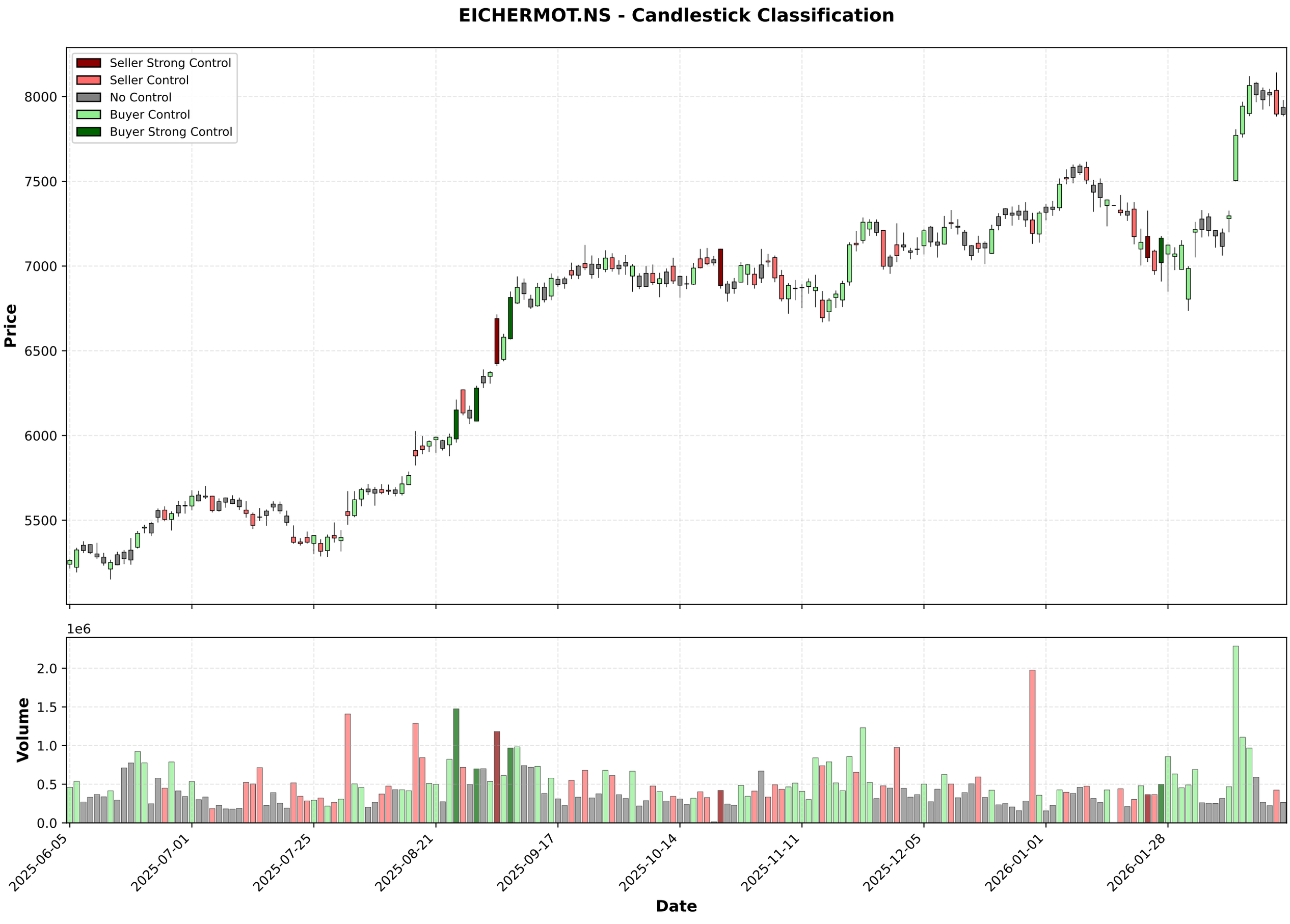
EICHERMOT.NS - Volume Analysis

═══ VOLUME ANALYSIS ═══:	
Status:	**39 Signals Detected**
:	
2026-01-21 [-]:	Distribution Day
2026-01-23 [+]:	**Selling Exhaustion (Bullish Div)**
2026-01-28 [-]:	Distribution Day
2026-01-29 [-]:	Distribution Day


EICHERMOT.NS - Volume Analysis
Close Price
Peaks
Troughs
Distribution
Climax Churn
Buying Exhaustion
Selling Exhaustion
Price
8000
7500
7000
6500
6000
5500
5000
2025-03
2025-05
2025-07
2025-09
2025-11
2026-01
2026-03
1e6
Vol MA (20)
Volume
Volume
2.0
1.5
1.0
0.5
0.0
Date

EICHERMOT.NS - Candlestick Classification Summary

═══ CANDLESTICK CLASSIFICATION ═══:	
Latest Classification:	**No Control**
Recent Trend Score (10-day avg):	0.30
:	
Distribution:	
No Control:	99
Buyer Control:	66
Seller Control:	56
Buyer Strong Control:	4
Seller Strong Control:	3

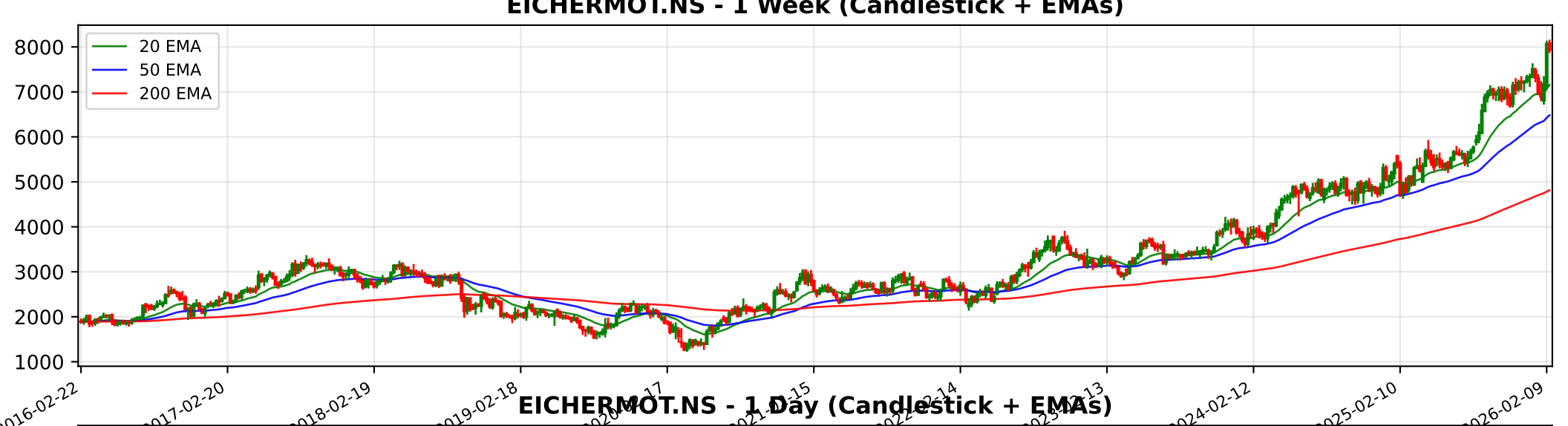

EICHERMOT.NS - Candlestick Classification
Seller Strong Control
Seller Control
No Control
Buyer Control
Buyer Strong Control
Price
8000
7500
7000
6500
6000
5500
1e6
Volume
2.0
1.5
1.0
0.5
0.0
2025-06-05
2025-07-01
2025-07-25
2025-08-21
2025-09-17
2025-10-14
2025-11-11
2025-12-05
2026-01-01
2026-01-28
Date

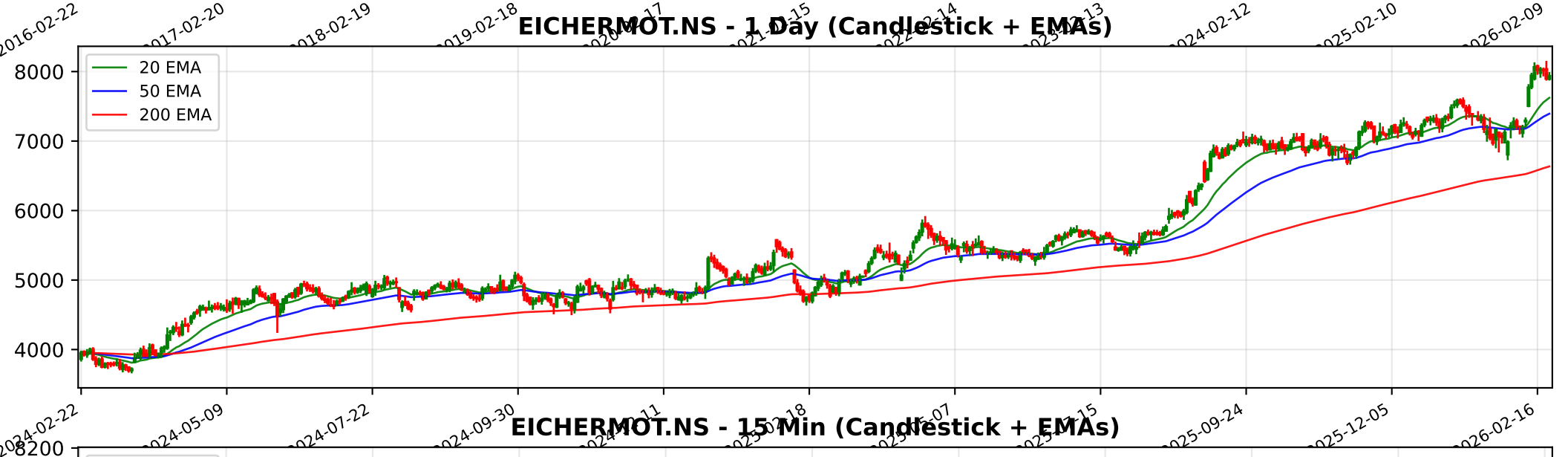
Multi-Timeframe Supertrend Analysis

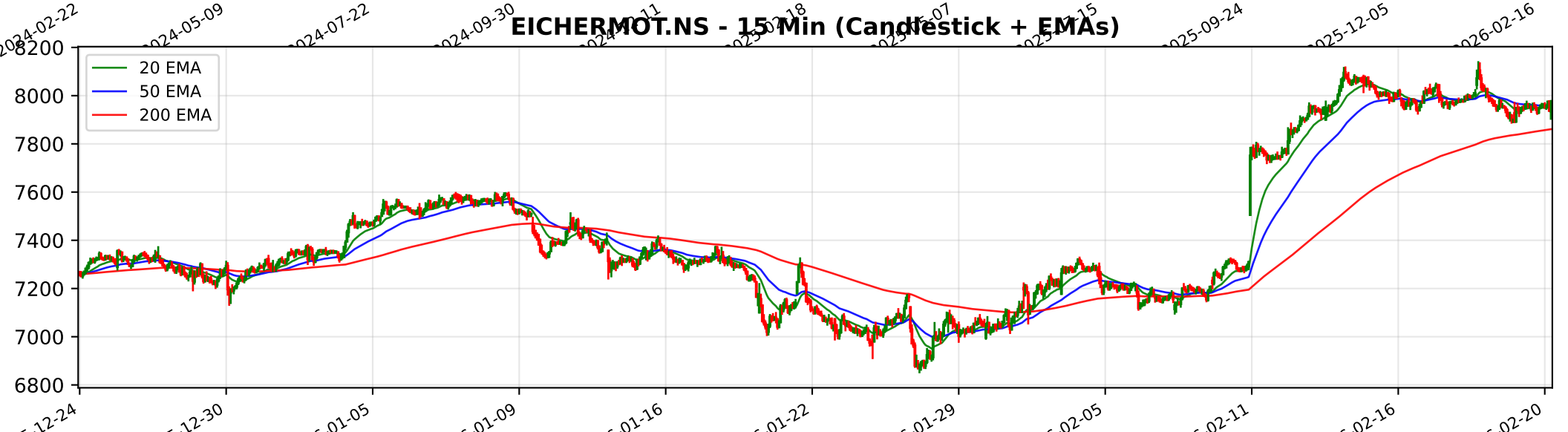
Timeframe	Status	Value	Last Price	Signal Date
1 Week	**UPTREND (Buy)**	7070.57	7936.5	2026-02-09
1 Day	**UPTREND (Buy)**	7395.54	7936.5	2026-02-11
15 Min	**UPTREND (Buy)**	7904.0	7936.5	2026-02-20

Multi-Timeframe MACD Analysis

Timeframe	Trend	Momentum	Signal
1 Week	**Bullish**	Strengthening	Bullish Crossover (Buy)
1 Day	**Bullish**	Weakening	No Signal
15 Min	**Bearish**	Weakening	Bearish Crossover (Sell)


EICHERMOT.NS - 1 Week (Candlestick + EMAs)
20 EMA
50 EMA
200 EMA
8000
7000
6000
5000
4000
3000
2000
1000
2016-02-22
2017-02-20
2018-02-19
2019-02-18
2024-02-12
2025-02-10
2026-02-09


EICHERMOT.NS - 1 Day (Candlestick + EMAs)
20 EMA
50 EMA
200 EMA
8000
7000
6000
5000
4000
2024-02-22
2024-05-09
2024-07-22
2024-09-30
2025-09-24
2025-12-05
2026-02-16


EICHERMOT.NS - 15 Min (Candlestick + EMAs)
20 EMA
50 EMA
200 EMA
8200
8000
7800
7600
7400
7200
7000
6800
12-24
12-30
01-05
01-09
01-16
01-22
01-29
02-05
02-11
02-16
02-20

Trendlyne Snapshot - EICHERMOT_main

Markets Baskets Alerts F&O MF Reports Screeners Subscribe Superstars Portfolio Watchlist Insider Trades Results Data Downloader More

Search Stock, IPO, MF

MARKETS / SECTOR : AUTOMOBILES & AUTO COMPONENTS / INDUSTRY : 2/3 WHEELERS / EICHER MOTORS LTD.

Eicher Motors Ltd.

NSE: EICHERMOT | BSE: 505200

Eicher Motors Live Share Price Today, Share Analysis and Chart

Expensive Star

In 3 Starfolio Baskets

ABOUT Eicher Motors Limited (EML) is an Indian multinational automotive manufacturer that serves as the parent company for Royal Enfield, a global producer of mid-size motorcycles (250cc–750cc). The company also manages a significant joint venture, VE Comm... Read More

7936.50 39.50 (0.50%)

↑ New 52W High in past week

273.1K NSE+BSE Volume

NSE 20 Feb, 2026 3:31 PM (IST)

Watchlist Portfolio Alert My Notes

Overview FORECASTER STOCK REPORT Buy Sell Zone F&O Financials News Reports Technicals Shareholding Deals Corporate Actions Alerts About

Durability score	Valuation Score	Momentum Score	Analyst Price Target
65.0 / 100	29.7 / 100	68.7 / 100	7,740
High Financial Strength	Expensive Valuation	Technically Moderately Bullish	1Yr Price target downside is -2%

Expensive Star These stocks are bullish, strong in quality and technicals, but expensive in valuation. Investors need to be cautious View Similar Embed DVM

FORECASTER

30 4 6 2

SWOT Analysis

Check Before You Buy

VIEW FULL CHECKLIST

High rank 15 Positive • 8 Negative

65.2% Pass in checklist

0 45 55 100

PE Valuation Check

Right Now: Fairly Valued 2.8%

1 Year Forward: Undervalued 7.1%

INSIGHT Eicher Motors is fairly valued at current PE, but undervalued on future earning

DVM
Key Metrics
Price Chart
Forecaster
Financials
Technicals
Shareholding
Deals
Documents
Corporate actions
Company Profile

Eicher Motors Key Metrics

Preset Metrics: Preset Metrics

ROE Ann. %	Broker Average Target	Market Capitalization	Price to Book
22.2	7,621	217,705.7	
Below Industry Median	-3.98% downside	Market Runner Up	Below Industry Median

Trendlyne Snapshot - EICHERMOT_forecaster

Markets Baskets Alerts F&O MF Reports Screeners Subscribe Superstars Portfolio Watchlist Insider Trades Results Data Downloader More

Search Stock, IPO, MF

MARKETS / SECTOR : AUTOMOBILES & AUTO COMPONENTS / INDUSTRY : 2/3 WHEELERS / EICHER MOTORS LTD.

Eicher Motors Ltd.

NSE: EICHERMOT | BSE: 505200

Expensive Star

In 3 Starfolio Baskets

Download real time STOCK REPORT

7936.50 39.50 (0.50%)

↑ New 52W High in past week

273.1K NSE+BSE Volume

NSE 20 Feb, 2026 3:31 PM (IST)

Watchlist Portfolio Alert My Notes

Overview FORECASTER STOCK REPORT Buy Sell Zone F&O Financials News Reports Technicals Shareholding Deals Corporate Actions Alerts About

Eicher Motors - EICHERMOT - stock price prediction, stock forecast, target price, analyst ratings from 36 analysts

Eicher Motors has a share price target of Rs 7740, revenue growth forecast of 23.9%, and profit growth estimate of 17.7% for FY26, based on top 36 analyst calls.

Eicher Motors FORECASTER - Analyst Estimates

FORECASTER DASHBOARD →

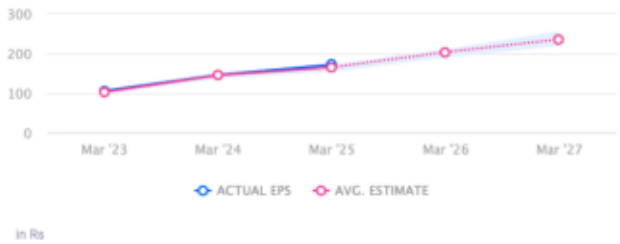
SHARE PRICE TARGET FORECAST

12 MONTH ESTIMATE

↓ MISS Eicher Motors's share price target is below the current price, with a downside of 2.5%

EPS FORECAST

QUARTER ANNUAL



↑ HIT Eicher Motors's EPS was higher than average estimate 3 times in past 3 years

CONSENSUS RECOMMENDATION

36 ANALYST Recommendations

BUY

The consensus recommendation from 36 analysts for Eicher Motors is BUY